

Shiv Shankar Giri v. Purvanchal Vidyut Vitran Nigam Ltd. & Others

Allahabad High Court · Division Bench · 30 May 2011 · WRIT - C No. 25037 of 2011 · **Writ petition disposed of; fresh opportunity to object to provisional assessment directed, recovery stayed pending decision**

HEADNOTE

Where a licensee cannot establish that a provisional assessment order was served on the consumer in the manner prescribed by Clause 9.3 of the U.P. Electricity Supply Code, 2005 (and the consumer denies receipt), the consumer is deprived of the statutory right to file objections under Section 126(3) of the Electricity Act, 2003 read with Clause 8.1(b)(iii) of the Code; treating an unserved provisional assessment as final (by issuing a demand notice by ordinary post, again with no proof of service) and proceeding to a recovery certificate is accordingly premature. The remedy is to afford the consumer a fresh, defined opportunity to file objections to the provisional assessment (upon supply of a certified copy), with recovery stayed pending a reasoned decision on those objections after a hearing.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::9.3

Failure to serve a provisional assessment in the Clause 9.3-prescribed manner deprives the consumer of the s.126(3)/Clause 8.1(b)(iii) right to object; a subsequent demand notice/recovery certificate premised on treating the unserved provisional assessment as final cannot stand without first affording a genuine objection opportunity

QUESTION

Can a licensee proceed to recovery, treating a provisional assessment as final for want of objections, where the licensee cannot show the provisional assessment was served in the Clause 9.3-prescribed manner and the consumer denies receiving it (or the subsequent demand notice)?

HOLDING

No — the licensee's own instructions were silent on whether the provisional assessment was sent by registered or ordinary post, and the consumer denied receiving both the provisional assessment and the subsequent demand notice (sent by ordinary post). This deprived the consumer of the statutory right to object under s.126(3)/Clause 8.1(b)(iii). The Court directed that the petitioner be given six weeks (from receipt of a certified copy of the order and the now-supplied provisional assessment/checking report) to file objections before the Executive Engineer, who must decide them by a reasoned, speaking order after a hearing, preferably within six weeks; recovery proceedings under the impugned citation were stayed until the earlier of a fixed date or disposal of the objections, with recovery to thereafter abide by that decision. ¶ [unnumbered order](#)

LIMITING FACTS

A checking on 7.9.2010 allegedly detected theft; a provisional assessment (18.12.2009) and demand notice (28.1.2010, sent by ordinary post) preceded a recovery citation (10.12.2010, Rs. 1,14,361 plus charges) sent to the Collector, Azamgarh; the licensee's counsel, on instructions, could not confirm the mode of service of the provisional assessment.

PRINCIPLE TAGS

clause-9.3-service-mode-prerequisite-to-treating-assessment-final A provisional assessment cannot be treated as final for want of objections unless the licensee can establish it was served in the manner Clause 9.3 prescribes; failure to do so, especially where the consumer denies receipt, deprives the consumer of the s.126(3)/Clause 8.1(b)(iii) objection right and vitiates a subsequent recovery based on that unserved assessment. ¶ [unnumbered order](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — CORRECTNESS/QUANTUM OF THE THEFT-BASED ASSESSMENT (RS. 1,14,361 PLUS CHARGES)

Not decided; to be determined by the Executive Engineer after considering the petitioner's objections. ¶ [unnumbered order](#)

